

Spending, saving & borrowing

Influences on consumption

Consumption is the amount households spend on goods and services to satisfy their current wants.

1. **Income:** The main influence on consumption is income. People's spending decisions are influenced by how their current income compares with their previous income and more significantly how much other people are spending.
2. **Wealth:** An increase in the value of people's assets is likely to encourage people to spend more (wealth effect). The main asset which most people own is their house. If house prices raise people are able to spend more. They are able to borrow more on the strength of the value of the property. When people move houses they tend to spend more on a range of goods and services including furniture and fitting and do it yourself equipment (DIY).
3. **Availability and cost of credit:** The easier and cheaper it is to borrow the more people are likely to spend. When people spend more than they earn they are said to be dissaving.
4. **Distribution of income:** A less even distribution may reduce spending. This is because the rich who receive higher incomes will not significantly increase their spending whereas middle and lower income groups experiencing reductions in their income will reduce their spending by quite large amounts.
5. **Age structure:** Middle age people tend to spend a lower proportion of their income than young.
6. **Inflation:** The effects of inflation are uncertain. People may be tempted to bring forward their purchase of cars, washing machines and other items if they expect prices to continue to rise. However this tendency may be more than offset by a desire to save more to maintain the real value of savings.
7. **Indirect taxes:** A rise in indirect taxes will be likely to reduce consumption
8. **Range of goods and services:** The greater the range of goods and services and the higher their quality, the more people are likely to spend.

Saving

It is disposable income which is not spent.

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Among the influences on saving we have:

- **Income.** As with consumption, the main influence on saving is disposable income. As disposable income rises, the total amount saved and the proportion saved (the savings ratio) increases.
- **Wealth.** The wealthier people are, the easier they will find it to save.
- The rate of **interest.** A rise in the rate of interest may reduce some target saving as people can now attain their target amounts by saving less. Overall, it is likely to increase non-contractual saving as it pushes up the reward for saving.
- The **tax** treatment of savings. Tax concessions on the income earned from saving will encourage people to save. In a number of countries there are some tax free savings schemes where no tax is charged on the interest earned.
- The range and quality of **financial institutions.** The greater the variety of saving opportunities on offer, the more likely people will find a scheme that will suit them. Confidence in the ability of institutions to pay an interest and repay the amount saved, is also important.
- **Age structure.** The young and the old tend to save less than middle-aged people. The old, especially the very old, draw on their savings to ensure a reasonable living standard during retirement.
- **Social attitudes.** The attitude to saving varies between countries. In some it is held in high esteem, while in others people prefer to spend most of their income when they receive it.

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